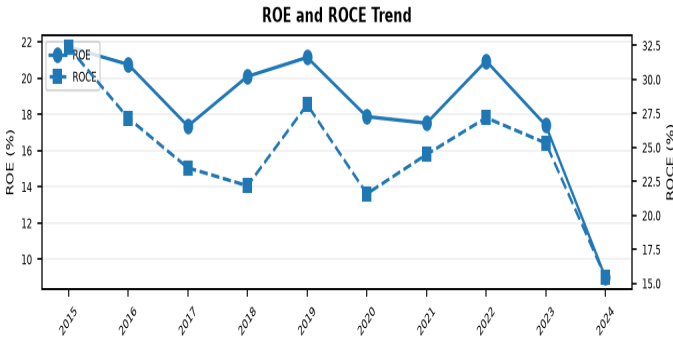
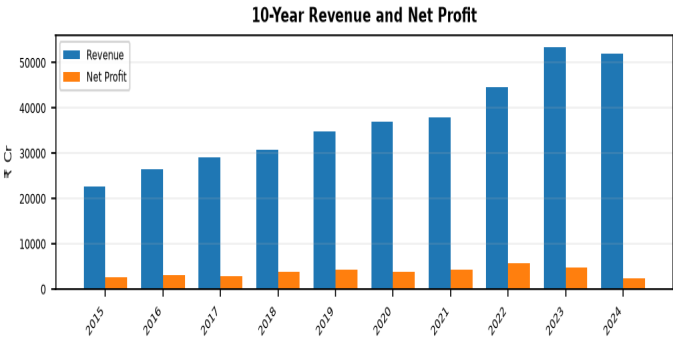
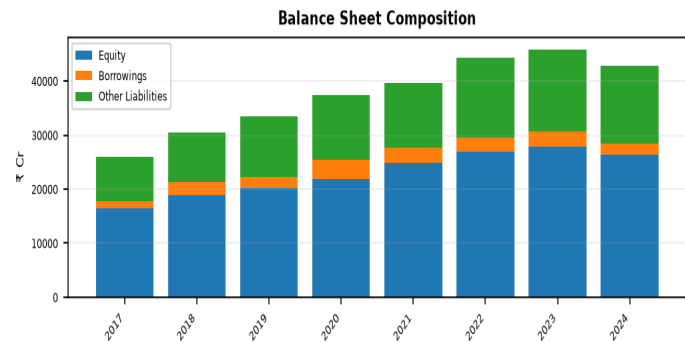


Information Technology | Tech Mahindra Ltd provides comprehensive range of IT services, including IT enabled service, application development and

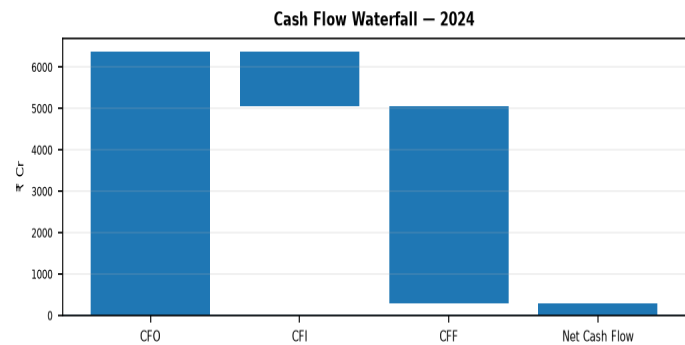
ROE	ROCE	Debt / Equity
9.0%	15.4%	0.10
Revenue CAGR 5Y	PAT CAGR 5Y	Free Cash Flow
3.1%	-15.7%	■5,058 Cr



Balance Sheet Composition



Latest-Year Cash Flow



Pros

- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Very high interest coverage ratio reflects negligible financial stress from debt servicing

Cons

- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

CAPITAL ALLOCATION: Reinvestor